002384.SZ - Dongshan Precision / 东山精密 | Full investment artifact

Full active edition | Financial methods and portfolio Base overrides preserved.

Research update: 5 October 2026 | **Framework:** 8.0 update | **Underlying business review:** 18 September 2026 **Status:** Full retained business analysis and H1 calibration; October 5 dilution update | **Classification:** OPTICAL AND AI PCB PLATFORM - qualified capacity, competitive suppliers **Artifact Base:** 41/60 = **68% - Watchlist** | **Protected portfolio Base:** 67% (user override retained; separate from artifact assessment) **Snapshot scope:** prices and price-dependent ranking remain in the master workbook. The H1 issued-share base is 1,831.607532M; forward dilution assumptions are explicit below. **Active ceiling:** Q4 2027 **CNY 217.007013**, pricing Q4 2027-Q3 2028. Previous same-window ceiling: CNY 219.166281; change -0.9852%.

The optical opportunity is larger and better evidenced than the earlier artifact could show. The rebuilt model recognizes stronger sales while removing unsupported exclusivity, customer and capacity assertions.

October 5 update: a quantified H-share envelope

The September 28 issuer announcement reports CSRC filing confirmation for a proposed issue of **up to 234.038600M H shares**. This is a maximum, not issued shares. The second PDF page states that Hong Kong SFC/HKEX and other remaining approvals are still required. Final size, issue price and completion date remain uncertain. The source path is dated September 29; the exact release clock is unknown.

证券代码：002384　　证券简称：东山精密　　公告编号：2026-052

苏州东山精密制造股份有限公司
关于发行境外上市股份（H股）获得中国证监会备案的公告

本公司及董事会全体成员保证信息披露的内容真实、准确、完整，没有虚假记载、误导性陈述或重大遗漏。

苏州东山精密制造股份有限公司（以下简称“公司”）正在进行申请发行境外上市股份（H 股）并在香港联合交易所有限公司（以下简称“香港联合交易所”）主板挂牌上市（以下简称“本次境外发行上市”）的相关工作。公司已于近日收到中国证券监督管理委员会（以下简称“中国证监会”）出具的《关于苏州东山精密制造股份有限公司境外发行上市备案通知书》（国合函〔2026〕2328 号）（以下简称“备案通知书”）。备案通知书主要内容如下：

一、公司拟发行不超过 234,038,600 股境外上市普通股并在香港联合交易所上市。

二、自备案通知书出具之日起至本次境外发行上市结束前，公司如发生重大事项，应根据境内企业境外发行上市有关规定，通过中国证监会备案管理信息系统报告。

三、公司完成境外发行上市后 15 个工作日内，应通过中国证监会备案管理信息系统报告发行上市情况。公司在境外发行上市过程中应严格遵守境内外有关法律、法规和规则。

四、公司自备案通知书出具之日起 12 个月内未完成境外发行上市，拟继续推进的，应当更新备案材料。

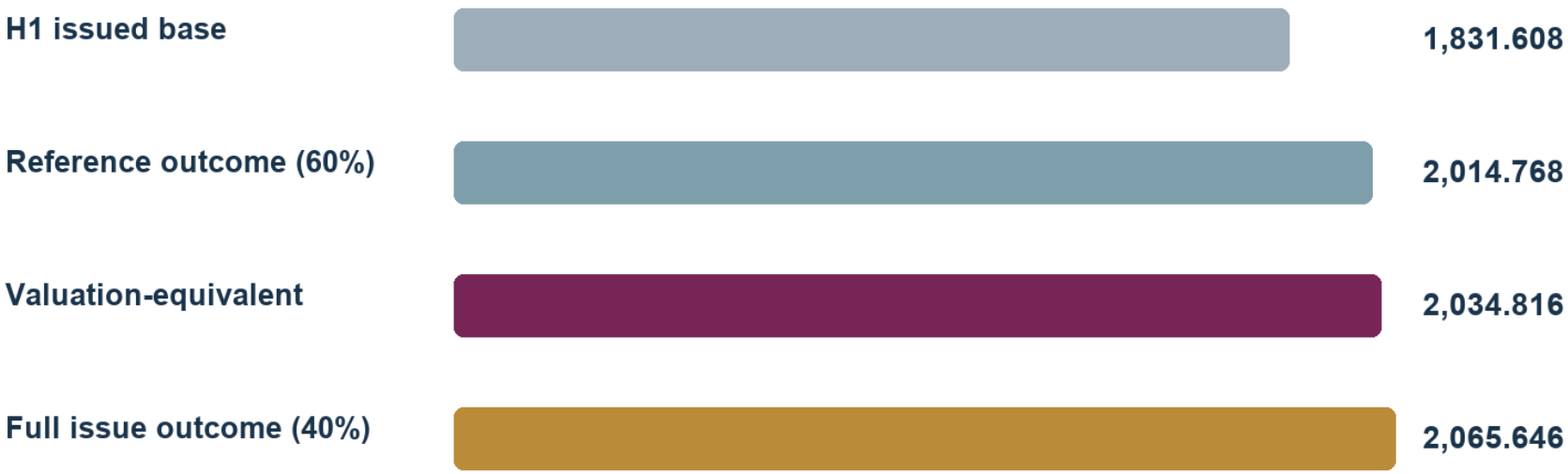
备案通知书仅对公司境外发行上市备案信息予以确认，不表明中国证监会对公司证券的投资价值或者投资者的收益作出实质性判断或者保证，也不表明中国证监会对公司备案材料的真实性、准确性、完整性作出保证或者认定。

Original Dongshan issuer announcement, PDF page 1: the proposed maximum is 234,038,600 overseas ordinary shares. CSRC filing confirmation does not establish completion; remaining Hong Kong approvals are addressed on PDF page 2.

The prior model already reserved **183.1607532M** new shares, equal to 10% of the H1 issued base. The updated scenario assigns **40%** subjective probability to issuance at the full proposed maximum and **60%** to that existing allowance. The probability applies to the bounded future dilution outcome; it is not the probability that the filing exists and is not applied again to earnings or the ceiling. From Q1 2027, value is calculated separately at each outcome's share count and then weighted, preserving the earlier assumed timing.

Dongshan: share outcomes and valuation bridge

Millions of shares | Q1 2027 timing retained as a model assumption, not a completion date



Arithmetic expected count: 2,035.119424M. Value-equivalent: 2,034.815676M.

Weight the two per-share values, not profit divided by expected shares. Neither count is actual issuance.

Two future share outcomes and their valuation-equivalent denominator. Source: September 28 issuer filing notice, PDF page 1, and root-frozen October 5 scenario. The equivalent denominator reproduces weighted per-share values; it is not an issued-share forecast.

Share bridge	Shares M	Status
H1 issued base	1,831.607532	Disclosed dated base; retained for Q3/Q4 2026

Share bridge	Shares M	Status
Reference future issuance allowance	183.1607532	Prior 10% planning assumption
Maximum proposed issuance	234.038600	Issuer filing ceiling; not completed
Arithmetic expected new issuance	203.51189192	60% reference allowance + 40% full ceiling
Increment versus existing allowance	20.35113872	Arithmetic expected increment only
Arithmetic expected total	2,035.11942392	Not the valuation denominator or actual issued count
Valuation-equivalent denominator	2,034.815676405	Harmonic equivalent of the two weighted per-share outcomes

The arithmetic expected addition is 183.1607532 + 40% × (234.038600 - 183.1607532) = 203.51189192M shares. The whole proposed issue is not added on top of an allowance that already anticipates financing. No issue proceeds, new capacity, sales, margin or operating-profit uplift are assumed. The existing **25x attributable forward operating-profit** convention remains locked.

For valuation, **E(1/shares) differs from 1/E(shares)**. The model weights the two CNY-per-share outcomes directly. The equivalent denominator is 1 / (60% / 2,014.7682852 + 40% / 2,065.646132) = **2,034.815676405M**. It reproduces the same weighted result through the existing valuation formula and is not a claim that this exact number of shares will be issued.

Q4 2027 outcome	Probability	Total diluted shares M	Conditional ceiling CNY	Weighted value CNY
Reference issuance allowance	60%	2,014.768285	219.166281	131.499769
Full proposed issue	40%	2,065.646132	213.768111	85.507244
Current weighted ceiling	100%	Not an actual-share observation	-	217.007013

Replace this scenario with final priced issuance terms when available. A smaller tranche, delay or withdrawal would weaken the full-ceiling outcome; bookbuilding and approvals consistent with the maximum would strengthen it. These are monitoring triggers, not new numerical forecasts.

The **40% weight is a judgment**: formal filing with a specific cap advances the financing plan, but a maximum is not a priced commitment and Hong Kong approvals remain outstanding. The 60% reference branch preserves the smaller issuance already allowed in the model. This is a bounded two-outcome approximation, not a claim that the final share count can take only these two values.

1. Supercycle, supply chain and durable advantage

AI clusters require more high-speed links and denser circuit boards. Dongshan combines an established electronics platform with Source Photonics and a larger optical manufacturing footprint. Captive lasers can improve supply assurance and capture more component economics, but do not confer exclusive control over every optical architecture or customer.

Cloud computing demand → switch/accelerator boards and optical ports → qualified PCB/module shipments → mix-dependent product GP → R&D and expansion costs → attributable earnings. The same cloud spending cannot be assigned entirely to both PCB and optics.

Business / curve	Stage	Evidence and next inflection
AI PCB	Expansion	High-density products grow within the disclosed circuit segment.
800G/1.6T modules	Commercial growth	1.6T customer supply confirmed; counts withheld.
3.2T / CPO / NPO	Development	Potential new formats, not separate confirmed revenue.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27	High-speed datacom and AI boards	H1 optical sales5.351B provide a real anchor. Forward optical2027 sales30B require materially higher qualified output and mix.
2028-29	Bandwidth and link-count growth	The model optical path rises to46B then57B, with pricing pressure reflected in GM.
2030+	Broader optical connectivity	Issuer report cites a100B USD AI-optics2030 market envelope. At planning7CNY/USD,65B modeled optical sales imply9.3% share of700B; definitions may exceed Dongshan addressability. This is a conditional market/capture assumption.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

H1 revenue27.797684B and cost22.196075B give GP5.601609B. Deduct selling0.268146B, administration0.897461B, R&D0.784301B and operating taxes0.078956B: core OP3.572745B. Reported OP3.503364B also includes financing, fair-value, impairment and other items. Parent net income2.956899B versus consolidated2.984630B informs the attribution proxy [E1].

The complete April28 and August24 published earnings Q&As were read [E2/E3]. Source has been consolidated since October2025. August management confirms1.6T supply to customers and an additional500M USD investment plan, while withholding shipment counts, EML yields, chip capacity and customer-specific orders. Investor questions proposing one million modules or25million DSPs are not management confirmations.

Both latest published earnings Q&As were reviewed in full. They do not disclose chip yield, precise capacity, named customer contract sizes or future numerical sales guidance. The old99% self-supply,80% yield,300M chip capacity and named mega-contract assertions are therefore not carried forward as facts.

4. Local evidence and calibration packet

The five-vector historical revenue and GP reconciliation has0% total error before rounding. Capex-to-customer-revenue mapping is undisclosed, so no arbitrary hyperscaler wallet fraction is presented as actual. The500M USD investment is a funding commitment/plan, not incremental sales. At planning7CNY/USD it is3.5B capital deployed into facilities, equipment and working capital.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	16/20	Integrated optical and board manufacturing with demonstrated revenues.
Inflection / cycle	8/10	New optical contribution and high-speed mix.
Forward TAM	9/10	More links and denser boards expand content.
Catalysts	4/5	Investment and product qualification.
Macro / policy	7/10	AI demand, with export and geographic friction.
Alpha / evidence	2/5	Better segment evidence but limited customer detail.
Risk deductions	-5	Five distinct classes.

Sum: 41/60 × 100 = 68.333333%, conventionally rounded to 68%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Five reported product groups anchor revenue exactly. H1 costs are10.174431B circuits,5.782360B precision,3.246496B optics,2.563023B displays and the0.429765B residual; GP reconciles to the group total. Captive EML chip economics stay inside optical module margins and are not counted as extra external revenue. AI PCB is included within electronic circuits because its separate revenue is undisclosed.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Circuits	H1 sales12.529628B; GM18.80%	2030 total56B, including AI PCB	GM19.5→24% requires better mix and utilization.
Precision	H1 sales6.580693B; GM12.13%	2030 total22.5B	GM12.5→14%; acquisitions distort organic comparisons.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Optics	H1 sales5.350999B; GM39.33%	2030 total65B; at assumed6500CNY average realized module value implies10M module-equivalent units annually	GM39→34% despite scale; internal chips not separate external sales.
Displays	H1 sales2.723477B; GM5.89%	Slow growth to roughly6.7B annual	GM6.5% assumed.
Other	H1 sales0.612887B; derived costs0.429765B	Small residual	38% assumed future mix; above historical residual29.88%, subject to verification.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. Electronic circuits including AI PCB

Sources: E1/E3; analyst mix and capacity path. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	12.529628	0.566657	7.100	19.500%	1.384
Q4 2026	12.529628	0.646468	8.100	19.765%	1.601
Q1 2027	12.529628	0.558676	7.000	20.029%	1.402
Q2 2027	12.529628	0.622524	7.800	20.294%	1.583
Q3 2027	12.529628	0.702335	8.800	20.559%	1.809
Q4 2027	12.529628	0.750222	9.400	20.824%	1.957
Q1 2028	12.529628	0.678392	8.500	21.088%	1.792
Q2 2028	12.529628	0.734260	9.200	21.353%	1.964
Q3 2028	12.529628	0.814070	10.200	21.618%	2.205
Q4 2028	12.529628	0.885900	11.100	21.882%	2.429
Q1 2029	12.529628	0.814070	10.200	22.147%	2.259

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2029	12.529628	0.893881	11.200	22.412%	2.510
Q3 2029	12.529628	0.981673	12.300	22.676%	2.789
Q4 2029	12.529628	1.061484	13.300	22.941%	3.051
Q1 2030	12.529628	0.973692	12.200	23.206%	2.831
Q2 2030	12.529628	1.069465	13.400	23.471%	3.145
Q3 2030	12.529628	1.181200	14.800	23.735%	3.513
Q4 2030	12.529628	1.245049	15.600	24.000%	3.744

V2. Precision components

Sources: E1; analyst growth. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	6.580693	0.531859	3.500	12.500%	0.438
Q4 2026	6.580693	0.623035	4.100	12.588%	0.516
Q1 2027	6.580693	0.531859	3.500	12.676%	0.444
Q2 2027	6.580693	0.577447	3.800	12.765%	0.485
Q3 2027	6.580693	0.607839	4.000	12.853%	0.514
Q4 2027	6.580693	0.683819	4.500	12.941%	0.582
Q1 2028	6.580693	0.607839	4.000	13.029%	0.521
Q2 2028	6.580693	0.653427	4.300	13.118%	0.564
Q3 2028	6.580693	0.683819	4.500	13.206%	0.594
Q4 2028	6.580693	0.759798	5.000	13.294%	0.665
Q1 2029	6.580693	0.683819	4.500	13.382%	0.602
Q2 2029	6.580693	0.729406	4.800	13.471%	0.647

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2029	6.580693	0.774994	5.100	13.559%	0.692
Q4 2029	6.580693	0.850974	5.600	13.647%	0.764
Q1 2030	6.580693	0.759798	5.000	13.735%	0.687
Q2 2030	6.580693	0.820582	5.400	13.824%	0.746
Q3 2030	6.580693	0.881366	5.800	13.912%	0.807
Q4 2030	6.580693	0.957346	6.300	14.000%	0.882

V3. Optical modules including captive chips

Sources: E1/E3/E4; analyst units×mix. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	5.350999	0.747524	4.000	39.000%	1.560
Q4 2026	5.350999	0.934405	5.000	38.706%	1.935
Q1 2027	5.350999	1.121286	6.000	38.412%	2.305
Q2 2027	5.350999	1.308167	7.000	38.118%	2.668
Q3 2027	5.350999	1.495048	8.000	37.824%	3.026
Q4 2027	5.350999	1.681929	9.000	37.529%	3.378
Q1 2028	5.350999	1.868810	10.000	37.235%	3.724
Q2 2028	5.350999	2.055691	11.000	36.941%	4.064
Q3 2028	5.350999	2.242572	12.000	36.647%	4.398
Q4 2028	5.350999	2.429453	13.000	36.353%	4.726
Q1 2029	5.350999	2.522893	13.500	36.059%	4.868
Q2 2029	5.350999	2.616334	14.000	35.765%	5.007
Q3 2029	5.350999	2.709774	14.500	35.471%	5.143

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2029	5.350999	2.803215	15.000	35.176%	5.276
Q1 2030	5.350999	2.896655	15.500	34.882%	5.407
Q2 2030	5.350999	2.990096	16.000	34.588%	5.534
Q3 2030	5.350999	3.083536	16.500	34.294%	5.659
Q4 2030	5.350999	3.176977	17.000	34.000%	5.780

V4. Optoelectronic displays

Sources: E1; analyst stable demand. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	2.723477	0.514049	1.400	6.500%	0.091
Q4 2026	2.723477	0.520528	1.418	6.500%	0.092
Q1 2027	2.723477	0.527008	1.435	6.500%	0.093
Q2 2027	2.723477	0.533488	1.453	6.500%	0.094
Q3 2027	2.723477	0.539967	1.471	6.500%	0.096
Q4 2027	2.723477	0.546447	1.488	6.500%	0.097
Q1 2028	2.723477	0.552926	1.506	6.500%	0.098
Q2 2028	2.723477	0.559406	1.524	6.500%	0.099
Q3 2028	2.723477	0.565886	1.541	6.500%	0.100
Q4 2028	2.723477	0.572365	1.559	6.500%	0.101
Q1 2029	2.723477	0.578845	1.576	6.500%	0.102
Q2 2029	2.723477	0.585324	1.594	6.500%	0.104
Q3 2029	2.723477	0.591804	1.612	6.500%	0.105
Q4 2029	2.723477	0.598284	1.629	6.500%	0.106

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2030	2.723477	0.604763	1.647	6.500%	0.107
Q2 2030	2.723477	0.611243	1.665	6.500%	0.108
Q3 2030	2.723477	0.617723	1.682	6.500%	0.109
Q4 2030	2.723477	0.624202	1.700	6.500%	0.111

V5. Other products and services

Sources: E1; residual plus analyst growth. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.612887	0.522119	0.320	38.000%	0.122
Q4 2026	0.612887	0.539395	0.331	38.000%	0.126
Q1 2027	0.612887	0.556671	0.341	38.000%	0.130
Q2 2027	0.612887	0.573947	0.352	38.000%	0.134
Q3 2027	0.612887	0.591223	0.362	38.000%	0.138
Q4 2027	0.612887	0.608499	0.373	38.000%	0.142
Q1 2028	0.612887	0.625775	0.384	38.000%	0.146
Q2 2028	0.612887	0.643051	0.394	38.000%	0.150
Q3 2028	0.612887	0.660327	0.405	38.000%	0.154
Q4 2028	0.612887	0.677603	0.415	38.000%	0.158
Q1 2029	0.612887	0.694879	0.426	38.000%	0.162
Q2 2029	0.612887	0.712155	0.436	38.000%	0.166
Q3 2029	0.612887	0.729431	0.447	38.000%	0.170
Q4 2029	0.612887	0.746707	0.458	38.000%	0.174
Q1 2030	0.612887	0.763983	0.468	38.000%	0.178

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2030	0.612887	0.781259	0.479	38.000%	0.182
Q3 2030	0.612887	0.798535	0.489	38.000%	0.186
Q4 2030	0.612887	0.815811	0.500	38.000%	0.190

7. Operating-cost bridge and quarterly operating model

Quarterly operating costs1.25→3.8B include recurring R&D, administration, sales and operating taxes. Manufacturing depreciation remains within product costs; expansion does not receive a free margin uplift. Interest, fair-value marks and investment income are excluded from the core operating-profit basis.

Profit basis: Recurring product GP less selling, administration, R&D and operating taxes, with an earnings-based minority proxy. Amounts below are CNY billions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	16.320	3.595	7.659%	1.250	14.366%	2.345	Source and AI PCB ramp	LOW model
Q4 2026	Model	18.948	4.270	7.389%	1.400	15.147%	2.870	Seasonal electronics and optics	LOW model
Q1 2027	Model	18.276	4.373	8.481%	1.550	15.448%	2.823	New qualified capacity	LOW model
Q2 2027	Model	20.405	4.964	8.331%	1.700	15.998%	3.264	Optics and board mix	LOW model
Q3 2027	Model	22.633	5.582	8.174%	1.850	16.491%	3.732	1.6T adoption	LOW model
Q4 2027	Model	24.761	6.156	8.077%	2.000	16.784%	4.156	Capacity utilization	LOW model
Q1 2028	Model	24.389	6.281	8.815%	2.150	16.937%	4.131	Further bandwidth upgrades	LOW model
Q2 2028	Model	26.418	6.841	8.706%	2.300	17.189%	4.541	3.2T qualification optionality	LOW model
Q3 2028	Model	28.646	7.451	8.553%	2.450	17.458%	5.001	More links per cluster	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q4 2028	Model	31.074	8.079	8.367%	2.600	17.631%	5.479	Competitive pricing	LOW model
Q1 2029	Model	30.202	7.993	9.105%	2.750	17.361%	5.243	Mix and yield	LOW model
Q2 2029	Model	32.031	8.433	9.054%	2.900	17.275%	5.533	Higher bandwidth volume	LOW model
Q3 2029	Model	33.959	8.899	8.981%	3.050	17.223%	5.849	More efficient production	LOW model
Q4 2029	Model	35.987	9.372	8.892%	3.200	17.150%	6.172	Supply catches demand	LOW model
Q1 2030	Model	34.815	9.210	9.622%	3.350	16.831%	5.860	2030 capture	LOW model
Q2 2030	Model	36.944	9.716	9.474%	3.500	16.825%	6.216	ASP offsets unit growth	LOW model
Q3 2030	Model	39.272	10.274	9.294%	3.650	16.866%	6.624	Next-generation qualification	LOW model
Q4 2030	Model	41.100	10.707	9.246%	3.800	16.804%	6.907	Mature margin normalization	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

Parent economic operating-profit bridge

Parent/consolidated H1 net-income ratio99.070851% is applied as a modest minority earnings proxy. It is not uniform legal ownership. No separate parent expense reallocation is possible; group operating expenses already include parent costs.

Quarter	Consolidated OP	Parent costs already included	Subsidiary ownership	Attributable OP proxy
Q3 2026	2.344600	0.000000	99.070851%	2.322815
Q4 2026	2.870124	0.000000	99.070851%	2.843456
Q1 2027	2.823382	0.000000	99.070851%	2.797149
Q2 2027	3.264347	0.000000	99.070851%	3.234016
Q3 2027	3.732459	0.000000	99.070851%	3.697779

Quarter	Consolidated OP	Parent costs already included	Subsidiary ownership	Attributable OP proxy
Q4 2027	4.155865	0.000000	99.070851%	4.117251
Q1 2028	4.130829	0.000000	99.070851%	4.092448
Q2 2028	4.540853	0.000000	99.070851%	4.498662
Q3 2028	5.000876	0.000000	99.070851%	4.954411
Q4 2028	5.478665	0.000000	99.070851%	5.427760
Q1 2029	5.243453	0.000000	99.070851%	5.194733
Q2 2029	5.533241	0.000000	99.070851%	5.481829
Q3 2029	5.848588	0.000000	99.070851%	5.794246
Q4 2029	6.171700	0.000000	99.070851%	6.114356
Q1 2030	5.859635	0.000000	99.070851%	5.805191
Q2 2030	6.215806	0.000000	99.070851%	6.158052
Q3 2030	6.623565	0.000000	99.070851%	6.562022
Q4 2030	6.906500	0.000000	99.070851%	6.842328

Attributable OP proxy = (consolidated OP + parent-only costs) × subsidiary ownership - parent-only costs. The following ceilings use this proxy. The preceding operating table and annual cross-check show consolidated OP.

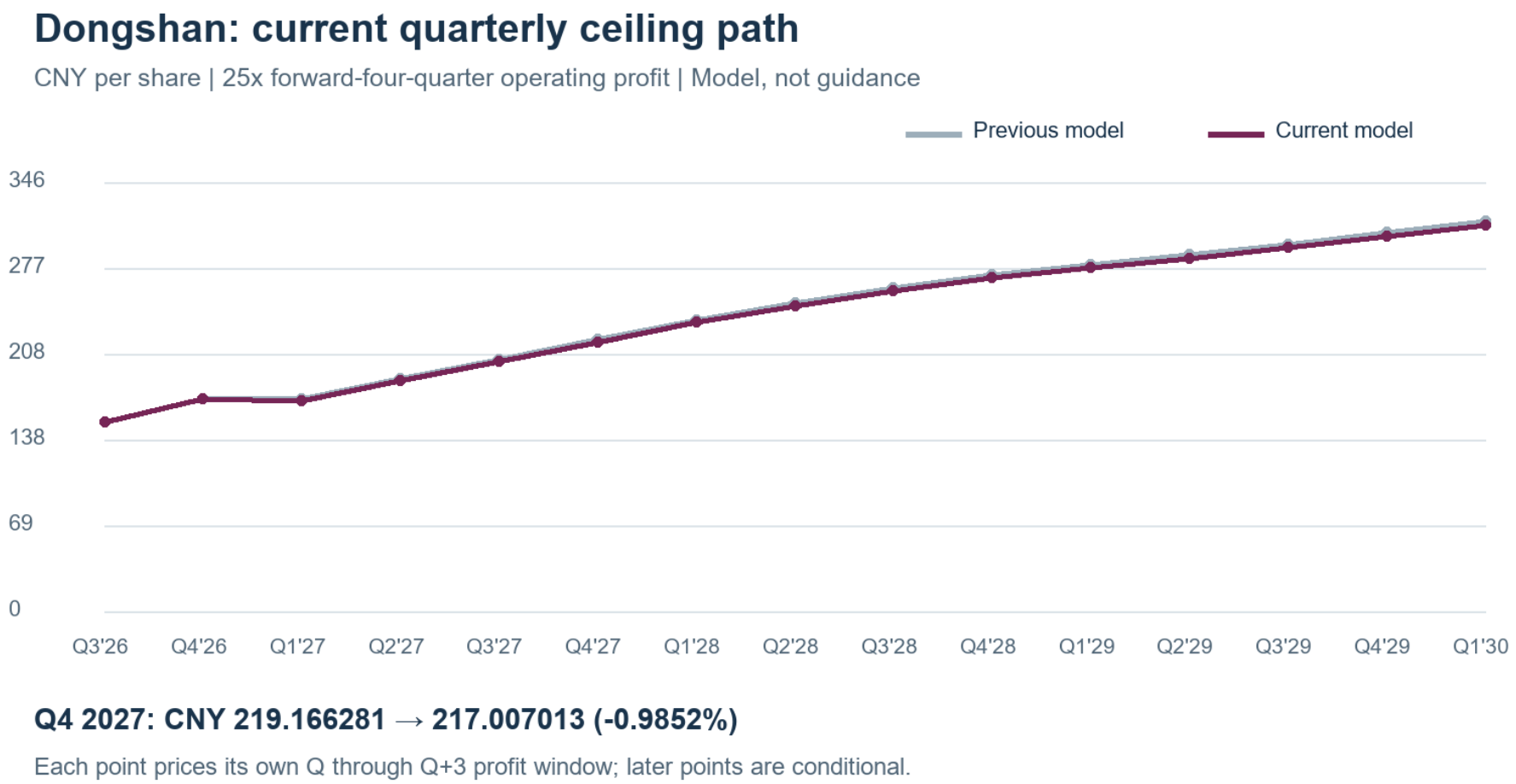
8. Multiple, shares and recognition convention

Retain25× operating profit from the original artifact; this is not a P/E multiple on after-tax net income.

H1 issued shares of 1,831.607532M remain the Q3/Q4 2026 denominator. From Q1 2027, the two future outcomes are 2,014.7682852M shares at 60% and 2,065.646132M at 40%. Weighting their per-share values produces the valuation-equivalent denominator of 2,034.815676405M. The arithmetic expected count, 2,035.11942392M, is disclosed separately and is not used as the valuation denominator. The assumed quarter is retained from the prior model and is not an issuer completion promise. No speculative buyback offset is assumed.

The valuation denominator is the ceiling quarter’s disclosed base for Q3/Q4 2026 and the valuation-equivalent proxy from Q1 2027, reproducing the two weighted per-share outcomes. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to CNY per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation



Current and previous quarterly model ceilings. Source: frozen October 5 job and staged workbook calculation; each point uses its own forward-four-quarter window.

Forward operating profit is in CNY billions; shares are in millions. All forward rows are modeled. From Q1 2027, the share column is the valuation-equivalent denominator, not an actual count or arithmetic expected count. The 1,000 unit factor converts billions per million shares to CNY per share.

Ceiling quarter	Exact profit window	Forward 4Q OP	Multiple	Valuation-equivalent shares M	Ceiling CNY
Q3 2026	Q3 2026 to Q2 2027	11.197436	25x	1,831.607532	152.836185

Ceiling quarter	Exact profit window	Forward 4Q OP	Multiple	Valuation-equivalent shares M	Ceiling CNY
Q4 2026	Q4 2026 to Q3 2027	12.572400	25x	1,831.607532	171.603354
Q1 2027	Q1 2027 to Q4 2027	13.846195	25x	2,034.815676	170.116079
Q2 2027	Q2 2027 to Q1 2028	15.141493	25x	2,034.815676	186.030283
Q3 2027	Q3 2027 to Q2 2028	16.406139	25x	2,034.815676	201.567873
Q4 2027	Q4 2027 to Q3 2028	17.662771	25x	2,034.815676	217.007013
Q1 2028	Q1 2028 to Q4 2028	18.973280	25x	2,034.815676	233.108093
Q2 2028	Q2 2028 to Q1 2029	20.075566	25x	2,034.815676	246.650912
Q3 2028	Q3 2028 to Q2 2029	21.058733	25x	2,034.815676	258.730230
Q4 2028	Q4 2028 to Q3 2029	21.898568	25x	2,034.815676	269.048551
Q1 2029	Q1 2029 to Q4 2029	22.585164	25x	2,034.815676	277.484155
Q2 2029	Q2 2029 to Q1 2030	23.195621	25x	2,034.815676	284.984308
Q3 2029	Q3 2029 to Q2 2030	23.871844	25x	2,034.815676	293.292464
Q4 2029	Q4 2029 to Q3 2030	24.639620	25x	2,034.815676	302.725453
Q1 2030	Q1 2030 to Q4 2030	25.367593	25x	2,034.815676	311.669416

Active exact bridge: (4.117251 + 4.092448 + 4.498662 + 4.954411) × 25 × 1,000 ÷ 2,034.815676 = **CNY 217.007013 per share**. The window is Q4 2027 through Q3 2028. Calculations use full precision; displayed inputs are rounded.

- **Q3 2026:** (2.322815 + 2.843456 + 2.797149 + 3.234016) × 25 × 1,000 ÷ 1,831.607532 = **152.836185 CNY/share**. Window: Q3 2026 to Q2 2027.
- **Q4 2026:** (2.843456 + 2.797149 + 3.234016 + 3.697779) × 25 × 1,000 ÷ 1,831.607532 = **171.603354 CNY/share**. Window: Q4 2026 to Q3 2027.
- **Q1 2027:** (2.797149 + 3.234016 + 3.697779 + 4.117251) × 25 × 1,000 ÷ 2,034.815676 = **170.116079 CNY/share**. Window: Q1 2027 to Q4 2027.
- **Q2 2027:** (3.234016 + 3.697779 + 4.117251 + 4.092448) × 25 × 1,000 ÷ 2,034.815676 = **186.030283 CNY/share**. Window: Q2 2027 to Q1 2028.
- **Q3 2027:** (3.697779 + 4.117251 + 4.092448 + 4.498662) × 25 × 1,000 ÷ 2,034.815676 = **201.567873 CNY/share**. Window: Q3 2027 to Q2 2028.
- **Q4 2027:** (4.117251 + 4.092448 + 4.498662 + 4.954411) × 25 × 1,000 ÷ 2,034.815676 = **217.007013 CNY/share**. Window: Q4 2027 to Q3 2028.
- **Q1 2028:** (4.092448 + 4.498662 + 4.954411 + 5.427760) × 25 × 1,000 ÷ 2,034.815676 = **233.108093 CNY/share**. Window: Q1 2028 to Q4 2028.
- **Q2 2028:** (4.498662 + 4.954411 + 5.427760 + 5.194733) × 25 × 1,000 ÷ 2,034.815676 = **246.650912 CNY/share**. Window: Q2 2028 to Q1 2029.
- **Q3 2028:** (4.954411 + 5.427760 + 5.194733 + 5.481829) × 25 × 1,000 ÷ 2,034.815676 = **258.730230 CNY/share**. Window: Q3 2028 to Q2 2029.

- **Q4 2028:** (5.427760 + 5.194733 + 5.481829 + 5.794246) × 25 × 1,000 ÷ 2,034.815676 = **269.048551 CNY/share**. Window: Q4 2028 to Q3 2029.
- **Q1 2029:** (5.194733 + 5.481829 + 5.794246 + 6.114356) × 25 × 1,000 ÷ 2,034.815676 = **277.484155 CNY/share**. Window: Q1 2029 to Q4 2029.
- **Q2 2029:** (5.481829 + 5.794246 + 6.114356 + 5.805191) × 25 × 1,000 ÷ 2,034.815676 = **284.984308 CNY/share**. Window: Q2 2029 to Q1 2030.
- **Q3 2029:** (5.794246 + 6.114356 + 5.805191 + 6.158052) × 25 × 1,000 ÷ 2,034.815676 = **293.292464 CNY/share**. Window: Q3 2029 to Q2 2030.
- **Q4 2029:** (6.114356 + 5.805191 + 6.158052 + 6.562022) × 25 × 1,000 ÷ 2,034.815676 = **302.725453 CNY/share**. Window: Q4 2029 to Q3 2030.
- **Q1 2030:** (5.805191 + 6.158052 + 6.562022 + 6.842328) × 25 × 1,000 ÷ 2,034.815676 = **311.669416 CNY/share**. Window: Q1 2030 to Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	86.075	21.076	7.100	13.976	16.237%
2028	110.527	28.651	9.500	19.151	17.327%
2029	132.179	34.697	11.900	22.797	17.247%
2030	152.131	39.906	14.300	25.606	16.831%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

2030 optical65B is roughly12.1× reported H1 optical revenue or6.1× its simple annualization. This requires capacity, customer qualification and market expansion; the500M USD plan alone does not prove that endpoint. Circuit56B and precision22.5B add independently to the annual total below.

11. Dilution sensitivity - same operating case

Both share outcomes scaled	Q4 2027 equivalent denominator M	Q4 2027 ceiling CNY	Effect on ceiling
-5% shares	1,933.074893	228.428435	+5.26%
+0% shares	2,034.815676	217.007013	+0.00%
+5% shares	2,136.556460	206.673346	-4.76%
+10% shares	2,238.297244	197.279103	-9.09%

This scales both branch share counts by the same percentage, with probabilities and OP unchanged; the equivalent denominator moves proportionately. It is not an additional operating branch or a second probability multiplier.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Additional optical investment	E3;95% plan evidence	500M USD	Supports modeled capacity, not sales added dollar-for-dollar	Track construction, utilization and funding
1.6T shipments	E3;95% shipment confirmation	No disclosed units	Included within optical sales	Require actual mix and margin
Specific hyperscaler mega-order	Unverified;0% recognition	No reliable amount	No separate revenue	Need issuer/customer confirmation
H-share issuance scenario	E6; 40% full ceiling / 60% reference allowance	Up to 234.038600M proposed H shares	Weight per-share values; 2,034.815676M valuation-equivalent denominator from Q1 2027, no OP or cash uplift	Replace with final priced size and timing

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Optical competition and ASP	-1	More supply and alternate architectures compress margins.
Execution and yields	-1	Investment alone does not ensure good qualified units.
Customer and electronics concentration	-1	Demand and seasonal mix can change abruptly.
Funding and dilution	-1	H-share issuance and working-capital needs change per-share capture.
Trade and integration	-1	Cross-border restrictions and acquired operations add risk.

14. Dated catalysts, counters and escalation

1. **Q3 results2026 - Reconcile optical mix** Compare product revenue, margins and working capital with the path.
2. **2027 expansion - Capacity conversion** Track qualified units and realized sales, not only installed tools.
3. **H-share filing - Denominator reset** Use final issued shares when available; preserve portfolio Base.

15. Cross-book monitoring

Dongshan competes with optical-module suppliers while buying inputs overlapping Yunnan Germanium, laser suppliers and equipment holdings. Captive chips reduce some merchant demand but larger industry volume can offset it. Optical architectures affect supplier capture differently; no automatic equal uplift across the book.

16. Source register and model limits

E6 - CSRC H-share filing confirmation (signed September 28, 2026; publication path September 29). PDF page 1: proposed maximum; PDF page 2: remaining Hong Kong approvals. Event DONGSHAN-PROPOSED-H-SHARES-20260928, revision 1, DOT-EARNINGS-20261005 revision 3.

E1 - Dongshan H1 financial report (2026-08-22). Product revenue/costs, financial statements and industry discussion.

E2 - FY2025 and Q1 earnings Q&A (2026-04-28). 22 management answers; no quantitative EML capacity or yield confirmation.

E3 - H1 earnings Q&A (2026-08-24). 33 answers on investment, products, shipments and uncertainty.

E4 - Source Photonics and Delta demonstrate1.6T products (2026-03-17). Product capability and optical technology routes.

E5 - Dated renewed H-share application (2026-05-20). Application remains subject to approvals; no completed issue assumed.

No verified numerical multi-year guidance, customer-level capex allocation or disclosed wafer-to-good-chip yield bridge exists. Future sales and margins remain analyst assumptions. The prior 10% issuance allowance is the reference within the explicit 40%/60% share scenario above. Small minority earnings are handled with a net-income proxy rather than undisclosed subsidiary operating allocations.

Workbook: v3_2_master_portfolio.xlsx, model tab 002384_SZ_Q_Model, share scenario B145:B155. B149 is the arithmetic expected count; B154 is the valuation-equivalent denominator. Prices and ranking remain in the master workbook. **Current artifact path:** G:/My Drive/1amInvesting/Artifacts/002384SZ_DongshanPrecision_DeepDive.md. October 5 snapshot; publication is separate. **Original snapshot:** versions/originals/002384SZ_DongshanPrecision_DeepDive.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.